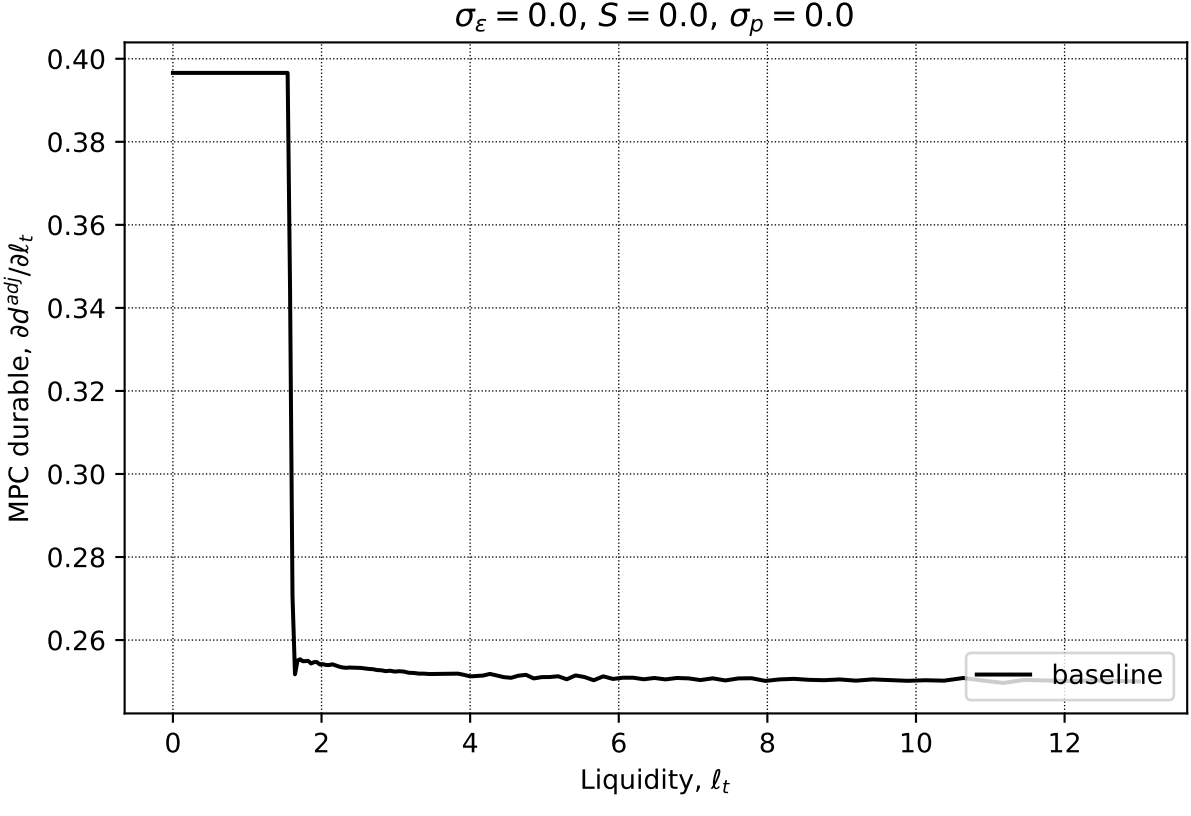
$\sigma_\varepsilon = 0.0$, $S = 0.0$, $\sigma_p = 0.0$
MPC durable, $\partial d^{adj}/\partial \ell_t$
0.40
0.38
0.36
0.34
0.32
0.30
0.28
0.26
0
2
4
6
8
10
12
Liquidity, ℓ_t
baseline